

Rating Rationale

August 10, 2026 | Mumbai

Vinyas Innovative Technologies Limited

Rating outlook revised to 'Positive'; Ratings Reaffirmed

Rating Action

Total Bank Loan Facilities Rated	Rs.200 Crore	Regulator Of Instrument
Long Term Rating	Crisil BBB+/Positive (Outlook revised from 'Stable'; Rating Reaffirmed)	RBI
Short Term Rating	Crisil A2 (Reaffirmed)	RBI

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1 crore = 10 million

Refer to Annexure for Details of Instruments & Bank Facilities

This rating rationale (RR) is being published in line with regulatory timelines, while the rated entity has appealed the rating. Crisil Ratings is evaluating the appeal along with additional information shared, and shall publish a separate RR after the same is completed.

Detailed Rationale

Crisil Ratings has revised its outlook on the long-term bank facilities of Vinyas Innovative Technologies Limited (VITL) to '**Positive**' from 'Stable' while reaffirming the rating at '**Crisil BBB+**'. The short-term rating has been reaffirmed at 'Crisil A2'.

The revision in outlook reflects the improvement in the company's business risk profile, supported by healthy growth in revenue and a strong order book position. Revenue has grown to Rs 514 crore in fiscal 2026, from Rs 396 crore in fiscal 2025, while size of the order book improved to ~Rs 1,400 crore as of July 2026 (Rs 1,000 crore as of July 2025). Operating margin was around 11% in fiscal 2026, and likely to remain steady at 11–12% in the medium term. The healthy orderbook position and longstanding relationships with counterparties should ensure sustained growth in revenue. Timely execution of orders, conversion of opportunities in the pipeline into revenue, and successful ramp-up of strategic investments will be monitorable.

The financial risk profile remains comfortable, backed by healthy network and capital structure, and sufficient accretion to reserve. Interest coverage ratio may also improve over the medium term. The management expects to receive balance funds under preferential allotment by March 2027 and timely receipt of the same remains key monitorable.

The ratings continues to reflect VITL's established track record, extensive experience of its promoters in manufacturing electronic components, strong order book position and healthy financial risk profile. These strengths are partially offset by the working capital-intensive operations and exposure to fluctuations in input cost and forex rates.

Analytical Approach

Crisil Ratings has evaluated the standalone business and financial risk profiles of VITL.

Key Rating Drivers - Strengths

Established track record and extensive experience of the promoters and diversified product portfolio and end user industries: The two-decade-long experience of the promoters and their strong engineering and execution capabilities have helped VITL establish itself as a reliable partner for design and manufacture of critical electronic components. The company caters to a broad range of end-user industries, including aerospace and defense, medical equipment and industrial segments. VITL continues to focus on complex – low to medium volume, high-tech and high-mix business. Furthermore, it manufactures critical components for its customers across various sectors. Strong track record of execution and ability to provide integrated solutions enables the company to provide one-stop solutions to its clients, and this in turn should support growth in revenue and profitability over the medium term.

Strong order book position: As of June 2026, VITL had orders worth ~Rs 1,400 crore to be executed over the next 18–36 months. Size of the orderbook has grown significantly vis-à-vis the previous fiscal (Rs 1,000 crore as of July 2025). Timely execution of orders and improvement in the current position will remain monitorable.

Healthy financial risk profile: Financial risk profile was marked by a large networth of Rs 236 crore as on March 31 2026, while gearing and total outside liabilities to adjusted networth ratios were moderate at 0.55 time and 0.98 time, respectively, as on the same date. Debt protection metrics also remained comfortable, marked by interest coverage and net cash accrual to total debt ratios of 3.92 times and 0.29 time, respectively, for fiscal 2026. The metrics are likely to improve further, in line with increase in the operating margin.

Key Rating Drivers - Weaknesses

Working capital-intensive operations: Gross current assets were high at 282 days as on March 31, 2026, mainly driven by sizeable inventory and large receivables towards the end of the fourth quarter. Operations may remain working capital intensive, given the nature of business and turnaround time for end-user projects.

Exposure to fluctuations in input cost and forex rates: The company imports 70-75% of its raw material requirement from Israel, US, Taiwan, Singapore, and other overseas markets. This makes its operations vulnerable to supply chain disruptions caused by any bottleneck or geopolitical risk.

Raw material cost forms a sizeable chunk of the cost of production. Any sharp fluctuation in prices of components or forex rates could impact profitability adversely over the medium term, and hence, remains key monitorable. Nonetheless, most of the contracts carry clauses for price parity and forex rate variations, which mitigates this risk.

Liquidity Adequate

Bank limit utilisation was moderate, averaging around 76% for the 12 months ended May 31, 2026. Expected cash accrual of over Rs 40 crore should more than suffice to cover the term debt obligation of Rs 4–5 crore over the medium term. Current ratio was also healthy at 1.8 times as on March 31, 2026. Unencumbered cash and cash equivalents were at over Rs 18 crore as on the same date.

Outlook Positive

Crisil Ratings believes VITL's credit risk profile should improve, driven by growth in scale of operations and the healthy orderbook. The healthy financial risk profile is also likely to sustain, backed by sufficient cash accrual. Timely execution of orders and receipt of balance funds under preferential allotment will remain monitorable.

Rating sensitivity factors

Upward factors

- Growth in revenue by 20–30% and steady operating margin of 11–12%, resulting in higher net cash accrual
- Sustenance of financial risk profile and better working capital management

Downward factors

- Decline in revenue and/or operating margin (below 6%), leading to lower-than-expected net cash accrual
- Any large debt-funded capital expenditure or dividend payout, leading to stretch in liquidity
- Continuous stretch in working capital cycle, driven by larger inventory/receivables

About the Company

VITL was incorporated in 2001. The company designs and manufactures electronics components for global original equipment manufacturers (OEMs) and original design manufacturers (ODMs). It provides end-to-end solutions, ranging from design for manufacturability, supply chain management, printed circuit board assembly, advanced test solutions, product integration and after-market support. The manufacturing facilities are in Mysuru, Karnataka. VITL's shares are listed on the NSE Emerge platform.

Operations are managed by Narendra Narayanan, Sumukh Narendra and Meera Narendra.

Key Financial Indicators

As on / for the period ended March 31		2026	2025
Operating income	Rs crore	514.32	396.64
Reported profit after tax	Rs crore	30.87	19.42
PAT margin	%	6.00	4.90
Adjusted debt/adjusted networth	Times	0.55	0.87
Interest coverage	Times	3.92	3.27

Any other information: Not applicable

Note on complexity levels of the rated instrument:

Crisil Ratings' complexity levels are assigned to various types of financial instruments and are included (where applicable) in the 'Annexure - Details of Instrument' in this Rating Rationale.

Crisil Ratings will disclose complexity level for all securities - including those that are yet to be placed - based on available information. The complexity level for instruments may be updated, where required, in the rating rationale published subsequent to the issuance of the instrument when details on such features are available.

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Please note:

More details including a list of activities or instruments, along with the names of respective financial sector regulators (FSRs) whose purview they fall under, is available in 'Annexure – List of Instruments and Names of Regulators' below.

Annexure - Details of Instrument(s)

ISIN	Name Of Instrument	Date Of Allotment	Coupon Rate (%)	Maturity Date	Issue Size (Rs. Crore)	Complexity Levels	Rating Outstanding with Outlook	Regulator Of Instrument
NA	Cash Credit	NA	NA	NA	102.00	NA	Crisil BBB+/Positive	RBI
NA	Non-Fund Based Limit	NA	NA	NA	93.00	NA	Crisil A2	RBI
NA	Proposed Fund-Based Bank Limits	NA	NA	NA	5.00	NA	Crisil BBB+/Positive	RBI

Note: Kindly note that for activities or instruments falling under the purview of FSRs other than SEBI, the grievance/dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure - Rating History for last 3 Years

Instrument	Type	Current		2026 (History)		2025		2024		2023		Start of 2023
		Outstanding Amount	Rating	Date	Rating	Date	Rating	Date	Rating	Date	Rating	Rating
Fund Based Facilities	LT	107.0	Crisil BBB+/Positive		--	30-09-25	Crisil BBB+/Stable		--		--	Withdrawn (Issuer Not Cooperating)*
Non-Fund Based Facilities	ST	93.0	Crisil A2		--	30-09-25	Crisil A2		--		--	Withdrawn (Issuer Not Cooperating)*

All amounts are in Rs.Cr.

* - Issuer did not cooperate; based on best-available information

Annexure - Details of Bank Lenders & Facilities - Regulator for the Instrument is RBI

Facility	Amount (Rs.Crore)	Name of Lender	Rating
Cash Credit	42	Axis Bank Limited	Crisil BBB+/Positive
Cash Credit	40	HDFC Bank Limited	Crisil BBB+/Positive
Cash Credit	20	Punjab National Bank	Crisil BBB+/Positive
Non-Fund Based Limit	93	HDFC Bank Limited	Crisil A2
Proposed Fund-Based Bank Limits	5	Not Applicable	Crisil BBB+/Positive

Annexure: List of instruments and names of regulators of the instruments

As required by SEBI CRA Circular dated Feb 10, 2026, a list of activities or instruments falling under the purview of various FSRs, along with the names of respective FSRs, is being disclosed below:

A. Rating activities

Sr. No.	Instrument / activity Name	Regulator of the instruments
1	Listed/Proposed to be listed bonds/debentures/preference share (all securities)	SEBI
2	Unlisted/Proposed to be unlisted Bonds/Debentures/ Preference share (all securities)	MCA
3	Listed PTCs / Securitisation Notes (originated by entities regulated by RBI)*\$	RBI
4	Listed PTCs / Securitisation Notes (originated by entities not regulated by RBI)*	SEBI
5	Unlisted PTCs / Securitisation Notes (originated by entities regulated by RBI)*	RBI
6	Listed Commercial Paper and NCDs with original maturity less than 1 year	RBI

7	Unlisted Commercial Paper and NCDs with original maturity less than 1 year	RBI
8	Loan Facilities (Fund/Non-Fund Based) from Bank/NBFCs/NHB/FIs ^	RBI
9	External Commercial Borrowings and other similar borrowings	RBI
10	Certificates of Deposit	RBI
11a	Fixed Deposits raised by NBFC's, HFCs, Fis	RBI
11b	Fixed Deposits raised by Banks	+
12	Fixed Deposits raised by corporates other than NBFCs, Banks, HFCs, FIs	MCA
13	Inter Corporate Deposits/Loans extended by Corporates	MCA
14	Borrowing programme ~	-
15	Issuer Ratings #	-
16	Credit Ratings for Capital Protection Oriented Schemes (by Mutual Funds and AIFs)	SEBI
17	Credit quality ratings (CQRs) for Mutual Fund Schemes and Schemes of AIFs	SEBI
18	Listed Security Receipts\$	RBI
19	Unlisted Security Receipts	RBI
20	Independent Credit Evaluation (ICE)	RBI
21	Expected Loss Ratings (for Loan Facilities (Fund/Non-Fund Based) from Bank/NBFCs/NHB/Fis)	+
22	Expected Loss Ratings (Listed/Proposed to be listed bonds/debentures/preference share (all securities))	SEBI
23	Expected Loss Ratings (Unlisted/Proposed to be unlisted Bonds/Debentures/Preference share (all securities))	MCA
24	Unlisted PTCs / Securitisation Notes (originated by entities not regulated by RBI) *	Investor-side regulator such as IRDAI, PFRDA @

* Includes securitisation transactions involving assignee payout, acquirer's payout.

~ The rated instrument may involve issuance of different instruments such as debt securities (listed or otherwise), bank loans, commercial paper (listed or otherwise), etc. The regulator of the instrument may accordingly be SEBI, RBI or MCA and can only be determined upon issuance. In PRs subsequent to issuance(s), Crisil Ratings Limited shall separately capture the rated quantum details along with names of respective regulators.

^ Includes bank facilities such as liquidity facility, second loss facility that are part of securitisation transactions.

There is no instrument being rated and hence, Regulator of the Instrument is not applicable. The rating scale and definitions are being followed as stipulated in SEBI Master Circular for CRAs.

@ These ratings were assigned during regulatory regime prior to introduction of SEBI CRA Circular dated Feb 10, 2026 and the investor side regulators have accordingly been included.

\$ By virtue of the instrument being listed, SEBI acts as the regulator for listing and related issues.

+ To be finalized following a discussion with the regulatory authorities.

Note: Kindly note that for activities or instruments falling under the purview of FSRs other than SEBI, the grievance/dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Criteria Details

Links to related criteria
<u>Basics of Ratings (including default recognition, assessing information adequacy)</u>
<u>Criteria for manufacturing, trading and corporate services sector (including approach for financial ratios)</u>

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